

ENGLISH **LIVE**

26

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 26

2nd MARCH, 2017

India stares at a future without jobs

If consolidation is shrinking job prospects in sectors like telecom, in others like software services and banking, the change is much more structural

Sandeep Khanna



In such a scenario where jobs are scarce, social security in the form of unemployment benefits becomes the only way to maintain stability. Photo: Hindustan Times

A perfect storm is brewing across India's industrial complex, one that will truly test the country's demographic dividend. Restructuring in many existing industries is leading to layoffs in thousands while a future in which new projects could be driven largely by automation and robots could put paid to the aspirations of millions of young men and women readying to join the workforce every year.

Simply put, we could be looking at a future in which there are just no new jobs.

As it is, investment proposals have been coming down while the latest numbers from the Reserve Bank of India show that manufacturing contracted for the first time in seven years, from a growth rate of 12.9% in 2009-10 to -3.7% in 2015-16. So far, the focus has been on injecting fresh capital investment under the assumption that this will automatically lead to job creation. But it is increasingly clear, that correlation is tenuous.

According to estimates by International Labour Organization (ILO), India's employment elasticity, a common measure of how employment growth responds to GDP growth, hovered around 0.3 between 1991 and 2007. Basically, 1% of overall economic growth produced 0.3% of employment growth. That number has been coming down quite alarmingly since, and now stands at only about 0.15%.

Facing uncertain markets at home and abroad and saddled with low capacity utilization, most large Indian companies have been loath to invest in fresh capacities. Even in sectors where there has been fresh investment, net job creation has been negative. Thus, the \$25 billion investment by Reliance Industries Ltd in its telecom operation, Jio, hasn't added to the overall number of jobs in the sector as the incumbents have been forced to restructure their operations to trim costs.

Looking ahead, there could be more layoffs coming as the fallout of Telenor India's sale to Bharti Airtel and the impending merger of Idea Cellular with Vodafone's India unit, take effect.

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28th February 2017

DISCUSSION ON 2nd March (Today)

DISCUSSION ON 3rd March (tomorrow)

Nurturing 21st century enterprises

The nature of the enterprise is undergoing a tectonic shift, a 'disruption' in start-up speak



The Union government is putting together a few programmes to help support India's enterprises of the future. Photo: Hindustan Times

The 20th century was the era of the large corporations. It can be argued that the growth of the market economies of the West, and in recent decades the Asian Tigers and China, was closely correlated with, if not driven by, the growth of their business houses. Conglomerates such as General Electric, Procter and Gamble, Schneider Electric, IBM, Nestlé, General Motors, Toyota, Mitsubishi, Siemens, Volkswagen, Fiat, Nissan, Nokia, Microsoft, Samsung, Apple, Google, and many more were the flag-bearers of globalization, instrumental in deploying a variety of technologies and products worldwide, improving the quality of lives of hundreds of millions, if not billions, of people. Simultaneously, large business houses created jobs, and led the creation of wealth in their societies through shareholder value creation, or by paying taxes. India missed out on getting the benefits of a national manufacturing champion, arguably thanks to the failed experiment with state-driven socialism, but we have an opportunity to gain leadership in the future of innovation-driven enterprises. The Union government is putting together a few programmes to help support India's enterprises of the future.

There is much to criticize the multinational corporations about, such as their undesirable impacts on the environment, ecological diversity, concentration of wealth, etc. The intention of this series is not to discuss the pros and cons of the current system, but to explore the recent trends in the evolution of the business universe.

For any of the large multinationals, the current structure would be along broadly similar lines. Corporate headquarters provide the backbone to individual business units, such as corporate branding, growth capital, shared knowledge of functions such as marketing and management of human resources, regulatory support, and financing of research and development of new products. Centralizing this knowledge and these functions provides economies of scale, and optimal utilization of scarce resources such as management bandwidth and cutting-edge expertise. Corporations were able to optimize this structure and expand in new regions quickly. A new business line is started or a new market is opened by some enterprising executives of the business, with the support and funding of the mothership, the corporate headquarters.

The nature of the enterprise is undergoing a tectonic shift, a 'disruption' in start-up speak. While businesses and enterprises have germinated and expanded throughout the last few hundred years, the trend of identifying fledgling businesses as 'start-ups' reflects a new world where a few entrepreneurs develop a technology, and deploy it in the market spurred on by external capital, provided by private equity/venture capital (PE/VC). As India undergoes a start-up revolution and VCs proliferate, this is the right time to examine the changing nature of the business world.

In the business world of the near future, smaller business units and start-ups, with very little in common, would be responsible for a much larger share of the 'corporate functions', while still connected to the same VCs or PE groups. These finance houses would take on a smaller than traditional role of 'corporate headquarters', allocating only capital and sometimes providing advice on market entry.

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1st March 2017

LIVE

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Sundeep Khanna



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India stares at a future without jobs

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28th February 2017

India stares at a future without jobs

- If consolidation is shrinking job prospects in sectors like telecom, in others like software services and banking, the change is much more structural
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India stares at a future without jobs

India *stares* at a future without jobs

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A perfect *storm is brewing* across India's industrial complex, one that will truly test the country's *demographic dividend*.

Stare

*Rajesh **stared** at me and could not believe himself as he saw me as a bank officer.*



Stare

To look for a long time with wide open eyes when surprised, frightened or thinking

Storm is brewing

*She may be smiling on the outside, but a **storm is brewing** on the inside.*



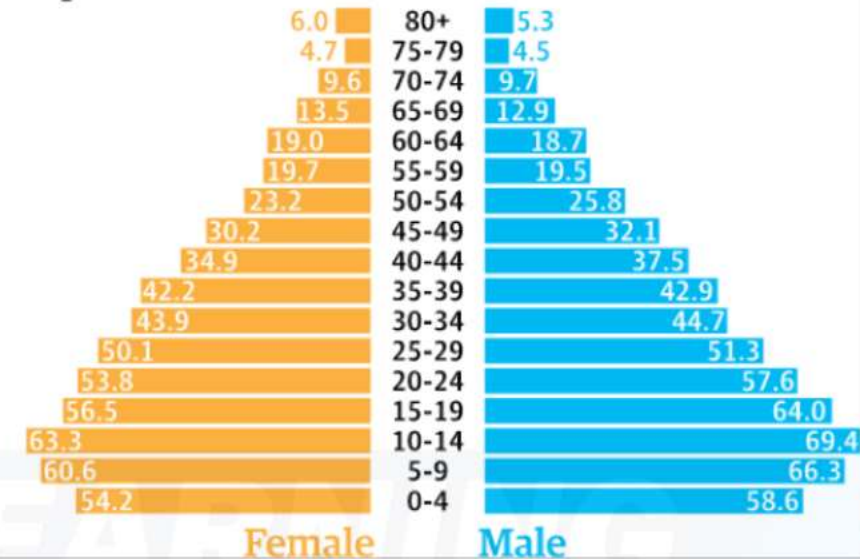
Storm is brewing

There is going to be trouble or emotional upset

Demographic dividend

Indian age distribution

Population in millions



Source: Economic Census 2011

Demographic dividend

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Restructuring

*Public sector enterprises
in general require
restructuring so as to
bring in more efficiency
and productivity.*



Restructuring

The act of organizing a company or business to make it operate more effectively

Layoff

Layoffs are expected in the software sector in the near future.



Layoff

Act of ending a worker's job, because there is not enough work to do

Put paid to

- *His elbow injury has **put paid to** his chances of getting into the final.*
- *Her father's untimely death has **put paid to** her chances of pursuing medical education.*



Put paid to

To finish or destroy something

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Focus

*The primary **focus** of the CMD is to improve the productivity.*



Focus

Central or most important thing for a company or organization

Injection

*Textiles and apparels sector not only require modernization, but also require **injection** of fresh investments.*



Injection

The act of putting money / resources into something in order to help it succeed

Correlation

*There is a **correlation** between women's literacy and infant mortality rate.*



Correlation

Relation between two or more things when one of them influences the other

Tenuous

*It seems to be only a **tenuous** connection between two crimes and it makes the job of the investigators much more difficult.*



Tenuous

Having little substance / weak

India stares at a future without jobs

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Elasticity

*Price **elasticity** of demand is a measure that is used in economics to show the responsiveness of the quantity demanded of a good or service to a change in its price.*



Elasticity

The ability of something to change in relation to something else

Hovering

In our country, inflation is *hovering* around 4 %.



Hovering

To stay at or near a particular level.

Alarming

*In our country, sometimes
raising of onion prices
causes **alarm**.*



Alarming

Causing worry or fear

India stares at a future without jobs

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...Transforming Human Lives

Saddled



*Ratan Tata was in the **saddle** as Chief Executive for more than 20 years.*

Saddle

In control of something
with position



State Bank Of India

*State Bank of India is **saddled** with bad loans of over Rs. 1 lakh crore.*

Saddled with

Situation
something
unpleasant or
difficult

Loath

*The Indian corporate sector has been **loath** to invest in fresh capacities.*



Loath

Unwilling to do something

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Incumbent

*The new **incumbent** is quite concerned about the welfare of the people.*



Incumbent

A person who holds a particular position in a company / in a particular elected position

Restructure

*A massive **restructuring** exercise in Infosys paid rich dividends*

Infosys®



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Restructure

To organize a company or business to make it operate more effectively

Trim

*Snapdeal will **trim** 600 workers as part of its restructuring exercise.*



Trim

To reduce unnecessary spending / to reduce the amount or size of something.

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Looking ahead, there could be more **layoffs** coming as the fallout of Telenor India's sale to Bharti Airtel and the **impending** merger of Idea Cellular with Vodafone's India unit, take effect.



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Layoffs

Layoffs are expected in the software sector in the near future.



Layoffs

Act of ending a worker's job, because there is not enough work to do

Impending

*Because of the climate changes, **impending** crisis in agriculture is the cause of concern in our country.*



Impending

Used to refer to an event which is usually unpleasant or unwanted

Nurturing 21st century enterprises

The nature of the enterprise is undergoing a tectonic shift, a 'disruption' in start-up speak

Anandhi Kaur / MintX Media



The Union government is putting together a few programmes to help support India's enterprises of the future. Photo: Pooja Parashar/Photo

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DISCUSSION ON 3rd Mar (tomorrow)

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1st March 2017

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SINCERE THANKS
FOR VIEWING THIS VIDEO



Presented by



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OUR TEAM

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